

**SUBSTITUTE FOR
SENATE BILL NO. 1134**

A bill to amend 1943 PA 240, entitled
"State employees' retirement act,"
by amending section 55 (MCL 38.55), as amended by 2011 PA 264, and
by adding sections 50b and 64a.

THE PEOPLE OF THE STATE OF MICHIGAN ENACT:

1 Sec. 50b. (1) Subject to subsection (4), the retirement system
2 shall provide an opportunity for each eligible position qualified
3 participant on June 5, 2027 to elect in writing to terminate being
4 a qualified participant and elect to become a member of the
5 Michigan state police retirement system created under the state
6 police retirement act of 1986, 1986 PA 182, MCL 38.1601 to 38.1674.
7 An election made by an eligible position qualified participant
8 under this subsection is irrevocable. The retirement system shall



1 accept written elections under this subsection from eligible
2 position qualified participants beginning on August 2, 2027 and
3 ending at 5 p.m. Eastern Daylight Saving Time, October 15, 2027. An
4 eligible position qualified participant who does not make a written
5 election or who does not file the election during the period
6 specified in this subsection continues to be a qualified
7 participant. An eligible position qualified participant who makes
8 and files a written election under this subsection elects to do
9 both of the following:

10 (a) Cease to be a qualified participant effective 11:59 p.m.,
11 January 1, 2028.

12 (b) Become a member of the Michigan state police retirement
13 system created under the state police retirement act of 1986, 1986
14 PA 182, MCL 38.1601 to 38.1674.

15 (2) After consultation with the retirement board, the
16 department of technology, management, and budget shall determine
17 the method by which an eligible position qualified participant may
18 make a written election under this section. If the eligible
19 position qualified participant is married at the time of the
20 election, the election is not effective unless the election is
21 signed by the individual's spouse. However, the retirement board
22 may waive this requirement if the spouse's signature cannot be
23 obtained because of extenuating circumstances.

24 (3) An election under this section is subject to the eligible
25 domestic relations order act, 1991 PA 46, MCL 38.1701 to 38.1711.

26 (4) An eligible position qualified participant that is
27 described in section 55(2) (b) or (d) is not eligible to make an
28 election under this section.

29 (5) As used in this section:



(a) "Eligible position" means a position in the classified civil service with a classification of any of the following:

(i) A position described in section 45(a)(i) or (iv).

(ii) Corrections resident representative.

(iii) Corrections transportation officer.

(iv) Special alternative incarceration officer.

(v) Corrections medical officer.

(vi) Corrections medical unit officer.

(vii) Assistant deputy warden.

(viii) State deputy warden.

(ix) Senior executive warden.

(x) Forensic security assistant.

(b) "Eligible position qualified participant" means a qualified participant who is employed in an eligible position.

Sec. 55. (1) "Plan document" means the document that contains the provisions and procedures of Tier 2 in conformity with this act and the internal revenue code.

(2) "Qualified participant" means an individual who is a participant of Tier 2 and who meets 1 of the following requirements:

(a) Is first employed and entered ~~upon~~ **on** the payroll of his or her employer on or after March 31, 1997, and who before March 31, 1997 would have been eligible to be a member of Tier 1.

(b) Elects to terminate membership in Tier 1 and elects to participate in Tier 2 in the manner prescribed in section 50.

(c) Is an adjutant general or an assistant adjutant general under the Michigan military act, 1967 PA 150, MCL 32.501 to 32.851, and who is first employed as an adjutant general or assistant adjutant general ~~on or after January 1, 2011.~~ **December 31, 2010.**



(d) Was a member who did not make the election under section 50a.

(e) Was a member who made the election under section 50a(1) and the designation under section 50a(2) and who has attained 30 years of credited service or who has terminated employment and has been reemployed by this state.

(f) Was a member as described in section 50a(6), (7), or (8).

(3) "Qualified participant" does not include any of the following:

(a) An individual employed in an eligible position, as that term is defined in section 50b, to whom both of the following apply:

(i) Elects to terminate being a qualified participant under section 50b.

(ii) Is first employed and entered on the payroll before June 6, 2027.

(b) An individual employed in an eligible position, as that term is defined in section 50b, who is first employed and entered on the payroll after June 5, 2027.

(4) ~~(3)~~—"Refund beneficiary" means an individual nominated by a qualified participant or a former qualified participant under section 66 to receive a distribution of the participant's accumulated balance in the manner prescribed in section 67.

(5) ~~(4)~~—"State treasurer" means the treasurer of this state.

(6) ~~(5)~~—"Tax-deferred account" means an account or accounts of existing deferred compensation plans or plans established by the retirement system, for which the retirement system has the authority to determine the membership, eligibility, terms, conditions, and other administrative and operational features. Tax-



1 deferred account does not include a health reimbursement account
 2 for purposes other than complying with the contribution limits
 3 described in section 68b(12).

4 (7) ~~(6)~~ Except as otherwise provided in this subsection, "year
 5 of service" means each period during which a qualified participant
 6 is employed by the employer and is credited with 2,080 hours of
 7 service. The Tier 2 plan administrator and the plan document may
 8 provide for a lesser number of annual hours and a maximum number of
 9 hours per pay period for any classification of employees, ~~provided~~
 10 ~~that no~~ **but a** participant ~~shall~~ **may not** receive credit for more
 11 than 1 year of service for any 12-month period of employment.
 12 Beginning January 1, 2003, full service credit ~~shall~~ **must** also be
 13 given to a participant for furlough hours, for required 1-day
 14 layoffs, for required and designated temporary layoffs, for a year
 15 in which a participant temporarily leaves employment to enter
 16 active military duty and then dies during that active military
 17 duty, and for participation in the banked leave time program. ~~In~~
 18 ~~the event~~ **If** a terminated participant is reemployed, ~~such~~ **the**
 19 individual ~~shall~~ **must** retain credit for all full and partial years
 20 of service completed ~~prior to such~~ **before the** reemployment, for
 21 purposes of determining his or her vesting percentage in any
 22 employer contributions made pursuant to section 63(2) and (3) after
 23 ~~his or her~~ **the** reemployment.

24 **Sec. 64a. An eligible position qualified participant who**
 25 **elects to terminate being a qualified participant under section 50b**
 26 **may transfer part or all of his or her contributions made to Tier 2**
 27 **and, subject to the vesting schedule under section 64, transfer**
 28 **part or all of employer contributions made on his or her behalf to**
 29 **Tier 2 to purchase service credit under the state police retirement**



1 act of 1986, 1986 PA 182, MCL 38.1601 to 38.1674, as provided in
2 section 24c of the state police retirement act of 1986, 1986 PA
3 182, MCL 38.1624c. As used in this section, "eligible position
4 qualified participant" means that term as defined in section 50b.

5 Enacting section 1. This amendatory act does not take effect
6 unless all of the following bills of the 103rd Legislature are
7 enacted into law:

8 (a) Senate Bill No. 1133.

9 (b) Senate Bill No. 1135.